

R16**Code No: 134AG****JAWAHARLAL NEHRU TECHNOLOGICAL UNIVERSITY HYDERABAD****B.Tech II Year II Semester Examinations, April - 2018****BUSINESS ECONOMICS AND FINANCIAL ANALYSIS****(Common to CE, EEE, ME, ECE, CSE, EIE, IT, MCT, MMT, AE, MIE, PTM, CEE, MSNT)****Time: 3 Hours****Max. Marks: 75****Note:** This question paper contains two parts A and B.

Part A is compulsory which carries 25 marks. Answer all questions in Part A.

Part B consists of 5 Units. Answer any one full question from each unit.

Each question carries 10 marks and may have a, b, c as sub questions.

PART- A**(25 Marks)**

1. Give a brief description to the following:
 - a) Theory of firm [2]
 - b) Micro and Macro Economics. [3]
 - c) Law of Demand [2]
 - d) Supply Function [3]
 - e) Production Function [2]
 - f) Features of Monopoly [3]
 - g) Journal [2]
 - h) Double entry system of Book-keeping. [3]
 - i) Solvency Ratios [2]
 - j) Funds from Operations. [3]

PART-B**(50 Marks)**

2. What is "Joint Stock Company"? Discuss the sources of capital required by a Joint stock company. [10]
- OR**
3. What is a 'Business Cycle'? Discuss the Phases of Business Cycle and list out the measures to be taken for protecting the interests of the business. [10]
 4. Discuss about different types of Elasticity of demand. [10]
- OR**
- 5.a) Explain in detail, the Law of Supply.
 - b) How is Law of supply helpful in decision making? [5+5]
 - 6.a) Explain the concept Returns to Scale.
 - b) Explain Short run and long run cost functions. [5+5]
- OR**
- 7.a) Explain the Features of Monopolistic competition.
 - b) Explain the concept of cost-volume-profit analysis. [5+5]

8. What are accounting concepts? Discuss any three accounting concepts in detail. [10]

OR

9. From the following Trial Balance prepare Trading, profit and loss A/c for the year ended 31-03-2017 and Balance sheet as on that data [10]

Debit Balances	Rs.	Credit Balances	Rs.
Sundry Debtors	52,000	Sundry creditors	22,000
Cash in hand	1,592	Sales	2,92,000
Motor Car	22,000	Capital	70,000
Furniture	3,500		
Purchases	1,95,000		
Sales Returns	2,600		
Patents	8,420		
Opening Stock	7,000		
Motor Car expenses	11,400		
Rent, Rates and Taxes	6,108		
Insurance Premium	2,400		
Machinery	24,000		
Wages	23,600		
General Expenses	2,680		
Carriages Inwards	2,040		
Carriages Outwards	1,130		
Discount	500		
Fuel	6,430		
Drawings	8,000		
	3,84,000		3,84,000

Closing stock: Rs.35,000

10. Explain the importance of Ratio analysis as a technique for analyzing Financial Statements. [10]

OR

11. From the following Balance Sheets of Mr.Praveen Prepare a Schedule of changes in working capital and a funds flow statement. [10]

Liabilities	2016	2017	Assets	2016	2017
	Rs	Rs.		Rs.	Rs.
Capital	63,000	1,00,000	Cash	15,000	20,000
Borrowings	50,000	60,000	Debtors	30,000	28,000
Trade Creditors	42,000	39,000	Stock-in-trade	55,000	72,000
Bank Overdraft	35,000	25,000	Land and Buildings	80,000	1,00,000
Out Standing Expenses	5,000	6,000	furniture	15,000	10,000
	1,95,000	2,30,000		1,95,000	2,30,000

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PART- A**(25 Marks)**

1. Explain the following concepts in about five sentences each:
- a) Business [2]
 - b) National Income [3]
 - c) Elasticity [2]
 - d) Supply function [3]
 - e) Cost [2]
 - f) Monopoly [3]
 - g) Nominal account [2]
 - h) Conservatism [3]
 - i) Liquidity [2]
 - j) Networking capital [3]

PART-B**(50 Marks)**

- 2.a) What are the various sources of capital for a company? Explain.
b) Elucidate the significance of business economics. [5+5]
- OR**
- 3.a) Describe the various stages of business cycle.
b) Narrate the nature of business economics. [5+5]
- 4.a) Explain the Law of demand with assumptions.
b) Enumerate the influencing factors of elasticity of demand. [5+5]
- OR**
- 5.a) How do you apply the elasticity of demand in decisions making? Explain.
b) Discuss the essential characteristics of demand forecasting. [5+5]
- 6.a) Narrate the various types of production function.
b) How do you classify the costs? Explain. [5+5]
- OR**
- 7.a) Explain the features of perfect competition.
b) Narrate the stages of product life cycle. [5+5]

- 8.a) Outline the pros and cons of double entry system of accounting.
 b) What are rule of maintaining of books of accounts? Explain. [5+5]

OR

- 9.a) Prepare Profit and Loss Account, from the following balances of Mr. X for the year ending 31.03.2014

Particulars	Amount (Rs.)
Office rent	3,000
Printing expenses	2,200
Tax, Insurance	1,400
Discount received	400
Advertisement	3,600
Salaries	8,000
Stationeries	2,400
Discount allowed	600
Travelling expenses	2,600
Gross Profit transferred from the Trading A/c	25,000

- b) Explain how a ledger account can be maintained? [5+5]

- 10.a) Differentiate between the cash flow analysis and funds flow analysis.
 b) Describe the various types of profitability ratios. [5+5]

OR

- 11.a) Elucidate the types of turnover ratios.
 b) Calculate:
 i) Debt equity ratio
 ii) Liquidity ratio

	Rs.		Rs.
Stock	30,000	Equity Capital	1,00,000
Debtors	40,000	Secured loan	1,00,000
Sales	5,60,000	Land and Buildings	1,40,000
Reserves	50,000		
Good will	60,000		

[5+5]

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PART- A**(25 Marks)**

1. Give brief answers to the following:
 - a) Non- conventional sources of Finance [2]
 - b) Business cycle and its phases [3]
 - c) Characteristics of a good demand forecasting [2]
 - d) Supply function [3]
 - e) Types of Pricing [2]
 - f) Returns to scale [3]
 - g) Accounting Equation [2]
 - h) Trial Balance [3]
 - i) Current Ratio [2]
 - j) Working Capital and its components. [3]

PART-B**(50 Marks)**

- 2.a) Explain different sources of capital needed for a Joint Stock Company.
 - b) Explain different kinds of Business Entities. [5+5]
- OR**
- 3.a) Discuss the nature and scope of Business Economics.
 - b) Define the term 'Inflation and explain its impact on the economics. [5+5]
4. What is 'Elasticity of Demand'? Explain the broad classification of Elasticity of Demand. [10]
- OR**
5. Explain different methods of demand forecasting. [10]
6. Explain Law of Diminishing Returns. How are they helpful in managerial decisions? [10]
- OR**
- 7.a) Explain the features of a perfect competitive market.
 - b) Explain the concept of pricing based on Product Life Cycle. [5+5]

- 8.a) What is “Accounting”? Explain Double entry system of Book- Keeping. [5+5]
 b) Journalise the following transactions:

Jan 1,2018	Commenced with Cash	Rs. 10,00,000
Jan 3,2018	Purchased Goods worth	Rs.2,00,000
Jan 8,2018	Sold goods to Mr.Raghu	Rs.1,00,000
Jan 30,2018	Salaries Paid	Rs. 20,000
Jan 30,2018	Rent Paid	Rs. 10,000

OR

9. Explain any four accounting Concepts. [10]
 10. Explain the procedure for preparing “statement showing changes in working capital” with Imaginary figures. [10]
OR
 11. Following is the Profit and Loss Account of the year ended 31st December, 2017

Dr			Cr
To Opening stock	1,00,000	By Sells	5,60,000
To Purchases	3,50,000	By closing Stock	1,00,000
To Wages	9,000		
To Gross Profit c/d	2,01,000		
	6,60,000		6,60,000
To Administrative Expenses	20,000	By Gross Profit b/d	2,01,000
To Selling and distribution expenses	89,000	By Interest on investments	10,000
To Non-operating Expenses	30,000	By Profit on sale of	8,000
To Net Profit	80,000	Investment	
	2,19,000		2,19,000

You are required to calculate

- a) Gross Profit Ratio
 b) Net Profit Ratio
 c) Operating Ratio
 d) Operating Profit Ratio. [10]

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PART – A**(25 Marks)**

- 1.a) Identify the major advantage of sole proprietorship? [2]
- b) What are the different phases in Business cycle? [3]
- c) Define cross elasticity of demand. [2]
- d) Which is the most expensive method of demand forecasting among the various methods? Why? [3]
- e) What are the two inputs you would consider for production function with two variable inputs? [2]
- f) What are the stages of product life cycle? [3]
- g) What is the meaning of 'carriage inwards'? [2]
- h) What constitutes 'net worth' of a company? [3]
- i) What is the difference between 'current ratio' and 'quick ratio'? [2]
- j) For the best use of ratio analysis, what should be the reference for comparison for a company and why? [3]

PART – B**(50 Marks)**

- 2.a) Distinguish between positive and normative approach of study.
- b) What is the implication of the word 'limited' after the company's name? [5+5]

OR

- 3.a) What is the meaning of 'recession'? What is its relevance for the economy?
- b) What is the major difference between macroeconomics and microeconomics? [5+5]

- 4.a) What is the need for demand forecasting?
- b) With suitable examples distinguish between complementary goods and substitutes. [5+5]

OR

5. State the law of supply. What are the determinants of supply? Explain briefly. [10]

- 6.a) If the marginal cost of a firm is rising, does this mean that its average cost is also rising? Explain briefly.
- b) Given the following demand curve of a consumer for a monopolist's product $Q = 14 - 2P$, find the total revenue of the monopolist when it sells six units of the commodity without practicing any form of price discrimination. What is the value of consumers' surplus? [5+5]

OR

- 7.a) Define breakeven point. What are the assumptions in breakeven analysis?
- b) Suppose that the production function for a commodity is given by 10 multiplied by square root of (LK) , where Q is the quantity of output, L is the quantity of Labour and K is the quantity of capital, indicate whether this production function exhibits constant increasing or decreasing returns to scale. [5+5]
- 8.a) What are the types of accounts and what are the rules governing them? Give two examples for each of them.
- b) What is capital expenditure? Give three examples. [6+4]

OR

9. Following are the extracts from the Trial Balance of a firm as at 1st March 2017.

Name of the account	Dr.	Balance
Particulars	Rs.	Rs.
Sundry debtors	2,05,000	
Provision for doubtful debts		10,000
Bad debts	3,000	

Additional information:

Additional bad debts Rs.50,00,000, Maintain the provision for doubtful debts @ 10% on debtors.

Pass the necessary journal entries and show the relevant accounts. [10]

- 10.a) How accounting ratios are useful in the inter-firm comparison?
- b) What are turnover ratios? What purpose is served by debtor's turnover ratio and creditor's turnover ratio? [4+6]

OR

- 11.a) Determine which company is more profitable given the following:

Particulars	A Ltd	B Ltd
Net profit ratio	6%	8%
Turnover ratio	5 times	3 times

- b) A business has current assets of Rs. 30,00,000 including stock of goods of 5,00,000. Its current liabilities are Rs.15,00,000. What is the current ratio? If rest of the current assets consists of sundry debtors and cash, what is the quick ratio? However, if the business should have maintained stock of 15,00,000, what would be its current ratio? What would be the quick ratio? [4+6]

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